distorted incentives for issuers to raise excessive amounts of dollar debt.

Without a clear sense of the costs and benefits, a prudent policy might be to work on fixing the deep underlying causes while taking measures to limit the obvious risks. The big fixes would include boosting the private saving rate so that a country becomes less dependent on outside capital, strengthening revenue collection and cutting expenditures in good times so a country accumulates spare capacity for bad times and reduces the need to inflate, and increasing a country's ability to export its way out of sudden capital inflow stoppages. Such a policy of 'living with dollarization' may be neither clever nor quick but, in the long run, it is more likely to work. Of course, such a policy is not robust if 'original sin' is the true problem. Fortunately, history suggests it works.